CONTRACTS AS AN INSTRUMENT - RECAP

EXAMPLES FROM CONTRACT

A6 Architect to administer contract

R5 Contract to benefit successors and assignees

A3 Warranties by the contractor

A5 Warranties by the owner

A6 Architect to administer contract

Certainty → Provides a formalised process or mechanism to ensure all parties can remain capable of completing the project. ABIC contracts bring certainty to the process, requiring timely presentation and resolution of claims.

Q11 Contractor may require owner to remedy default

Q7 Owner may pay subcontractors or supplier

Transparency ← Process is understood by all parties. Documentation is required and refereed to throughout the process.

Value → Makes Contract Administation clearer and less prone to dispute or negotiation.

P Dispute Resolution

Stability ← Contracts are equitable to both parties. Equitable allocation of all project risk to one party or the other.

Interlinked and Cyclical → Requests from one party ask for a response from another party. Decisions are inputed back into the timeline and overall cost

Contract Forms

Traits of a profession

Judgement

Altruism

Disciplinary Knowledge

Self regulated

Autonomy

Architect has two roles.
1. Clients representative
2. Acts as certifier, assesor & approver

Architects Regulations 2015

Integrity, fairness and impartiality

A6 Architect to administer contract

Fair work

N3 Progress claims- procedure for contractor

E7 Workers compensation and employer's liability insurances

The order of precedence of **contract documents* is:

Clause B2

1. The special conditions shown in **schedule 2a**.
2. The owner occupier conditions shown in **schedule 2b**.
3. The conditions set out in this contract and **schedule 1**.
4. The specifications described below:

Only for use in

5. The drawings listed below:

the preparation of tenders.

Schedule 3 – Order of precedence

Only for use in the preparation of tenders.

6. All other documents described below:

B1 Discrepancies or omissions in documents

.1 If either **party* discovers a discrepancy, an ambiguity, or an omission in, or between, any of the **contract documents*, that **party* must **promptly* give written notice to the architect. The architect must **promptly* resolve the discrepancy, the ambiguity, or the omission by giving a written instruction to the contractor and a copy to the owner.

B2 Order of precedence of documents

.1 Unless otherwise shown in **schedule 3**, the order of precedence of the **contract documents* is as follows:

a any special conditions shown in **schedule 2a**

b any owner occupation special conditions shown in **schedule 2b**

c the conditions set out in this contract and **schedule 1**

d the specifications for the **works* in the order shown in **schedule 3**

e the drawings for the **works* shown in **schedule 3**

f any other document in the order shown in **schedule 3**.

.2 Large scale drawings take precedence over small scale drawings.

.3 An instruction from the architect to resolve a discrepancy, an ambiguity, or an omission that is not in accordance with the order of precedence referred to in **clause B2**, is an instruction for a **variation*.

B3 Contractor and owner must supply copies of **official documents*

.1 The contractor and the owner must **promptly* give to the architect or the architect must **promptly* give to the contractor, a copy of any **official document* either in or coming into its possession in relation to the **works*.

.2 An **official document* is:

a any report, notice, order, permit, licence, approval or other document required or issued by an **authorised person* in relation to the **works*

b any document listed in **item 29** of **schedule 1**

c any statutory approval

d an approval for provision of **infrastructure services* to the **site*

e any other document required under any **relevant legislation*.

.3 An **authorised person* is a building inspector or certifier or other person authorised under **relevant legislation* having jurisdiction over the **works*.

REFERENCE COPY

G Building the works

G7 Architect may instruct opening up or testing of the *works

.1 The architect may at any time give to the contractor a written instruction to open up or carry out tests on elements of the **works* other than as required by the **contract documents*. The contractor must **promptly* comply with the instruction.

G8 Contractor entitled to claim for costs of opening up or testing

.1 The contractor is entitled to make a **claim to adjust the contract* in relation to any loss, expense or damage that results from an instruction under **clause G7**, only if the opening up or testing does not reveal **defective work*.

.2 The requirements for making a **claim to adjust the contract* and the procedures to be followed are stated in **section H**.

G9 When contractor entitled to unfixed or demolished materials

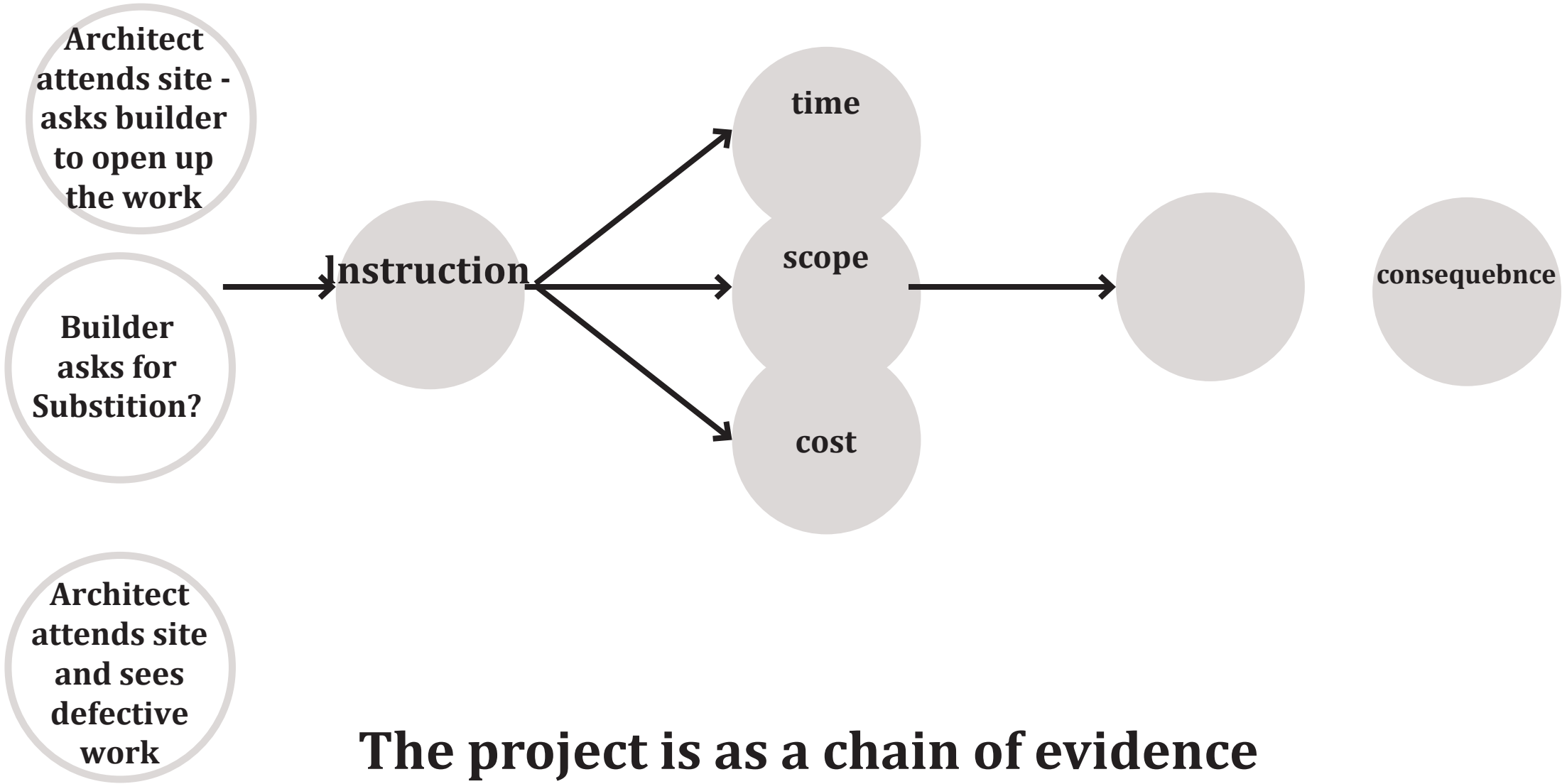
.1 The contractor owns and will own the following:

a all demolished materials, and

b all unfixed materials supplied by the contractor, but only until the owner has paid for the materials.

.2 **Clause G9.1** applies unless the **contract documents* state otherwise.

REFERENCE COPY



The project is as a chain of evidence

M Completion of the works

M1 *Practical completion

.1 The contractor must bring the **works* to **practical completion* by the date for **practical completion* shown in **item 22** of **schedule 1** as adjusted in accordance with this contract. The **works* are at **practical completion* when, in the reasonable opinion of the architect:

a they are substantially complete and any incomplete work or **defects* remaining in the **works* are of a minor nature and number, the completion or rectification of which is not practicable at that time and will not unreasonably affect occupation and use

b all commissioning tests in relation to the plant and equipment shown in **item 23** of **schedule 1** have been carried out successfully and

c any approvals required for occupation have been obtained from the **relevant authorities* and copies of **official documents* evidencing the approvals have been provided to the architect.

.2 Subject to **clause M11**, the owner takes possession of the **works* at 4.00pm on the date the architect issues the notice of **practical completion*.

M2 Inspection by the contractor

.1 At least 10 **working days* before the date the contractor expects that **practical completion* will be reached, the contractor must inspect the **works* and prepare a detailed schedule of **defects* and incomplete work and give a copy of the schedule to the architect.

.2 At the same time, the contractor must give the architect a written timetable for the correction of **defects* and completion of incomplete work.

M3 Notification to architect of *practical completion

.1 When the contractor considers that the **works* are at **practical completion*, the contractor must notify the architect in writing and give a copy of the detailed schedule of **defects* and incomplete work indicating that each item has been corrected or completed to the satisfaction of the contractor.

.2 The architect must commence its inspection of the **works* **promptly* and complete the inspection within an agreed time or, if none is agreed, within 10 **working days*. The architect must issue a notice or instruction under **clause M4** or **M5**.

.3 Within the agreed time for the architect's inspection, or if none is agreed, within 10 **working days*, the contractor must give the architect any **official documents* required for occupation and evidence that all the commissioning tests shown in **item 23** of **schedule 1** have been successful.

M4 Architect to decide if the *works have reached *practical completion

.1 If the architect decides that the **works* have reached **practical completion*, the architect must give written notice of **practical completion* to the contractor and to the owner within 5 **working days* after completing the inspection. The notice must state the date when **practical completion* was reached.

.2 The architect must also notify the owner in writing that security must be released in accordance with **clause C7**.

M5 If the *works not at *practical completion

.1 If the architect considers that the **works* are not at **practical completion* the architect must give a written notice to the contractor copied to the owner, listing what is to be done for **practical completion* to be reached. The architect must give the notice to the contractor within 5 **working days* after completing the inspection.

REFERENCE COPY

M6 Contractor to bring the *works to *practical completion

.1 If the architect gives notice to the contractor under **clause M5**, the contractor must *promptly do whatever is necessary for *practical completion to be reached. The contractor must notify the architect in writing when it considers the *works have reached *practical completion. The procedures under **clauses M2** to **M6** apply until the architect decides that the *works have reached *practical completion.

M7 If architect fails to issue notice of *practical completion

.1 If the architect fails to issue a notice under **clause M4** or **M5** within 5 *working days of completion of the inspection, the contractor may request in writing that the architect issue a notice.

.2 If the architect fails to issue a notice within 5 *working days of the request:

a the contractor may make a *claim to adjust the contract for any loss, expense or damage that results from the failure of the architect to issue a notice and

b the date of *practical completion will be the date identified in the contractor's notice made under **clause M3** and

c any security must be released in accordance with **clauses C6**.

.3 The requirements for making a *claim to adjust the contract and the procedures to be followed are stated in **section H**.

M8 Possession of the *works before *practical completion

.1 If the owner takes possession of the *works before the architect issues the notice of *practical completion, the *works are to be treated as having reached *practical completion. The architect must issue to the contractor and to the owner a notice of *practical completion for the *works within 5 *working days after being notified in writing that the owner has taken possession, unless **clause M4** applies.

.2 If the owner takes possession of the *works before the architect issues the notice of *practical completion, the contractor may make a *claim to adjust the contract.

.3 The requirements for making a *claim to adjust the contract and the procedures to be followed are stated in **section H**.

M9 Liquidated damages may be payable

.1 If the *works have not reached *practical completion by the date for *practical completion as adjusted, the architect must *promptly notify the contractor and the owner in writing of the owner's entitlement to liquidated damages.

.2 Up to 20 *working days after the date of issue of the notice of *practical completion, the owner may notify the architect in writing whether it will enforce its entitlement to liquidated damages against the contractor.

.3 The contractor is liable to pay or allow to the owner liquidated damages at the rate shown in **item 24** of **schedule 1**.

REFERENCE COPY

M Completion of the works

M10 Deduction of liquidated damages

.1 If the owner notifies the architect in writing under **clause M9**, then the architect must:
   a notify the contractor of the owner's decision within one **working day*, and
   b deduct liquidated damages from the next and subsequent progress certificates, as applicable.

.2 If, after the architect has issued a certificate in which an allowance for the owner's entitlement to liquidated damages has been made, an adjustment is made to the date for **practical completion*, with the result that the owner's entitlement to liquidated damages is altered, or the owner has advised that it no longer wishes to enforce its entitlement to liquidated damages, the architect must make an appropriate adjustment in the next certificate.

M11 Contractor to correct **defects* and finalise work

.1 The contractor must correct any **defects* or finalise any incomplete work, whether before or after the date of **practical completion*, within the agreed time as stated in an instruction or if no time is stated, within 10 **working days* after receiving a written instruction from the architect to do so.

M12 If the contractor fails to correct **defects* and finalise work

.1 If the contractor fails to correct a **defect* or finalise any incomplete work within the time nominated under **clause M11** or fails to show reasonable cause for the failure together with a timetable for correcting the problem that is acceptable to the architect, the owner may use another person to correct the problem at the cost of the contractor.

.2 If the owner is required to use another person to rectify a problem, the owner is entitled to make a **claim to adjust the contract* in accordance with the procedure stated in **clause H2**.

.3 If the owner makes a **claim to adjust the contract* the architect must **promptly* assess the claim and may issue a certificate under **clause N4**.

M13 Defects liability period

.1 The defects liability period is shown in **item 25** of **schedule 1** and commences on the date of **practical completion* of the **works*. The owner must give the contractor access to the **site* for the duration of the defects liability period for the purpose of the contractor fulfilling its obligations under **clause M14**.

.2 The architect may notify the contractor that, in respect of any part of the **works* that has undergone significant correction within the first defects liability period, a further defects liability period of equal length to the first defects liability period may run for that part. The notification must be given at the time of acceptance of the corrected work.

M14 Contractor's obligations during and after defects liability period

.1 If there is any remaining **defect* or incomplete work, or the contractor becomes aware by instruction from the architect or from the contractor's own observations of any **defect* or incomplete work during the defects liability period, it must **promptly* return to the **site* and correct the **defect* or finalise the incomplete work. This obligation continues until the **defect* is corrected or the incomplete work is finalised, and does not come to an end when the defects liability period is over.

.2 The architect cannot give the first instruction to correct an outstanding **defect* or to finalise any incomplete work after the end of the defects liability period, unless it is for the rectification of a latent **defect* and the final certificate has not been issued.

REFERENCE COPY

Architect

Contractor

1 **Client Letter**

List of Forms

The forms referred to in this user guide are listed below. Digital, editable copies are available for purchase or download separately to the user guide and the contract.

Architect's forms

Form	Title	Clause
	Instructions	
SW-10	Architect's instruction	
SW-11	Contract price adjustment	H4, K4, J4
SW-12	Architects instruction for a variation	J1.2
SW-13	Instruction – to proceed/not proceed with a variation	J3, J4
SW-14	Instruction – adjustment of time	L1.1, L2.1
SW-15	Instruction – to correct defects or finalise work	M11
SW-16	Instruction – request for contractor to submit final claim	N11.4
SW-16H	Instruction – request for owner to pay deposit (domestic only)	N16
	Notices	
SW-20	Notice of practical completion	C6, D3, D4, M4, M13
SW-22	Notice of insurances	Section E, N7
SW-23	Notice – the works not at practical completion	M5
SW-26	Notice – entitlement to liquidated damages	M9
SW-27	Notice – application of liquidated damages	M9
SW-28	Notice – assessment of cost of completing the works	Q1, Q2, Q8
	Certificates	
SW-30	Progress payment certificate	N4
SW-30H	Progress payment with deposit (domestic only)	N4, N16, N17
SW-31	Final certificate	N11
SW-32	Certificate – termination payment	N11
SW-32H	Certificate – termination payment with deposit (domestic only)	N11
SW-33	Certificate – release security	C6

5 2 4 5 3

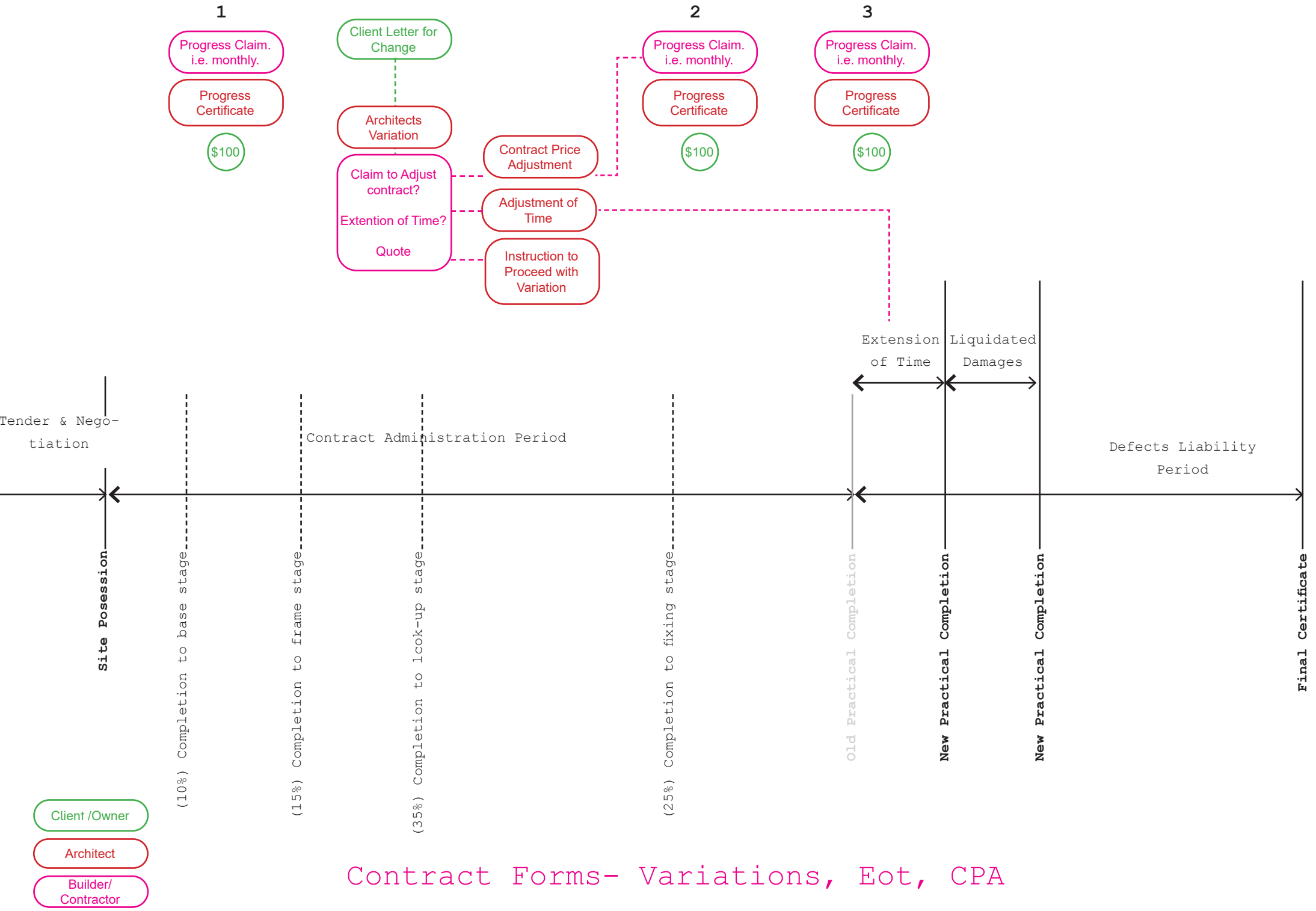
List of Forms

Contractor's forms

Form	Title	Clause
SW-40	Request for information/instruction/notice	F5, G8.1, J1.3, M7.1, N8
SW-41	Notice of intention to claim	
SW-42	Details of claim	B2, E10, F7, G8, H2, J4, J8, L1, L2, M7, M8, N9, Q12, Q16
SW-43	Additional information	F5, H3.3, J4, L1, L2, M7, M11, N9, N11.1, Q12 together with H2
SW-44	Security – providing bank guarantees	C3
SW-44H	Security – providing bank guarantees and deposit	C3, N16
SW-45	Evidence of insurances – contractor to insure	Section E, N7
SW-46	Program	G5, G6
SW-47	Notice to architect – works at practical completion	M3, M6
SW-48	Progress claim – summary sheet	N3
SW-48H	Progress claim – summary sheet with deposit (domestic only)	N3, N16
SW-49	Final claim – summary sheet	N10
SW-51	Evidence of insurance – owner to insure	E5
SW-53	Notice of possession of the works before practical completion	M8
SW-55	Contractor's notice	A2.2, B1, E8, F5, G3.1, J2.3, J4.2, N8.1, Q11
SW-56	Notice of suspension/termination	Q12, Q13, Q14
SW-57A	Notice of dispute (acts done)	A8
SW-57B	Notice of dispute (failure to act)	A9
SW-58	Notice of dispute – clause P2	P2
SW-59	Notification of an official document	J6
SW-60	Notice of start or end of delay	L3
SW-61	Notice of non-compliance (of owner-specified materials)	A5.5

Claim to Adjust contract?
Extention of Time?
Quote

Architect Variations + Extensions of Time



Contract Forms- Variations, Eot, CPA

[*Insert your company details here*]

ABIC FORM SW-12
ARCHITECT'S INSTRUCTION FOR A VARIATION

Project: Sydney Opera House

Project No.: 54

Owner: NSW Government

Instruction No.: A02

Contractor: Hornibrook Limited

Date issued: 25/03/1963

The contractor is instructed to:

Carry out work on the new design of the roof structure and tiles as per architects drawings and structural design from engineers Ove Arup and Partners.

2,400 precast rib units
6 Pedestal bases
4,000 tile panels.

The contractor is requested to provide, pursuant to **clause J1.2**:

☐ a signed, detailed estimate of the whole, or any part of the cost of, or any saving as a result of, the **variation*

_____

_____ [*details of part, if applicable*]

☐ a signed estimate of the effect of the **variation* on the date for **practical comple*

⊘ a signed, detailed quotation for the whole/part of the cost of the **variation* and effect on the date for **practical completion*

the
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_____ [*signature*]
Architect's Representative

Distribution: **Original:** Contractor [x] **Copies:** Owner [x] File [ ] Other [ ] _____

Architect

Contractor

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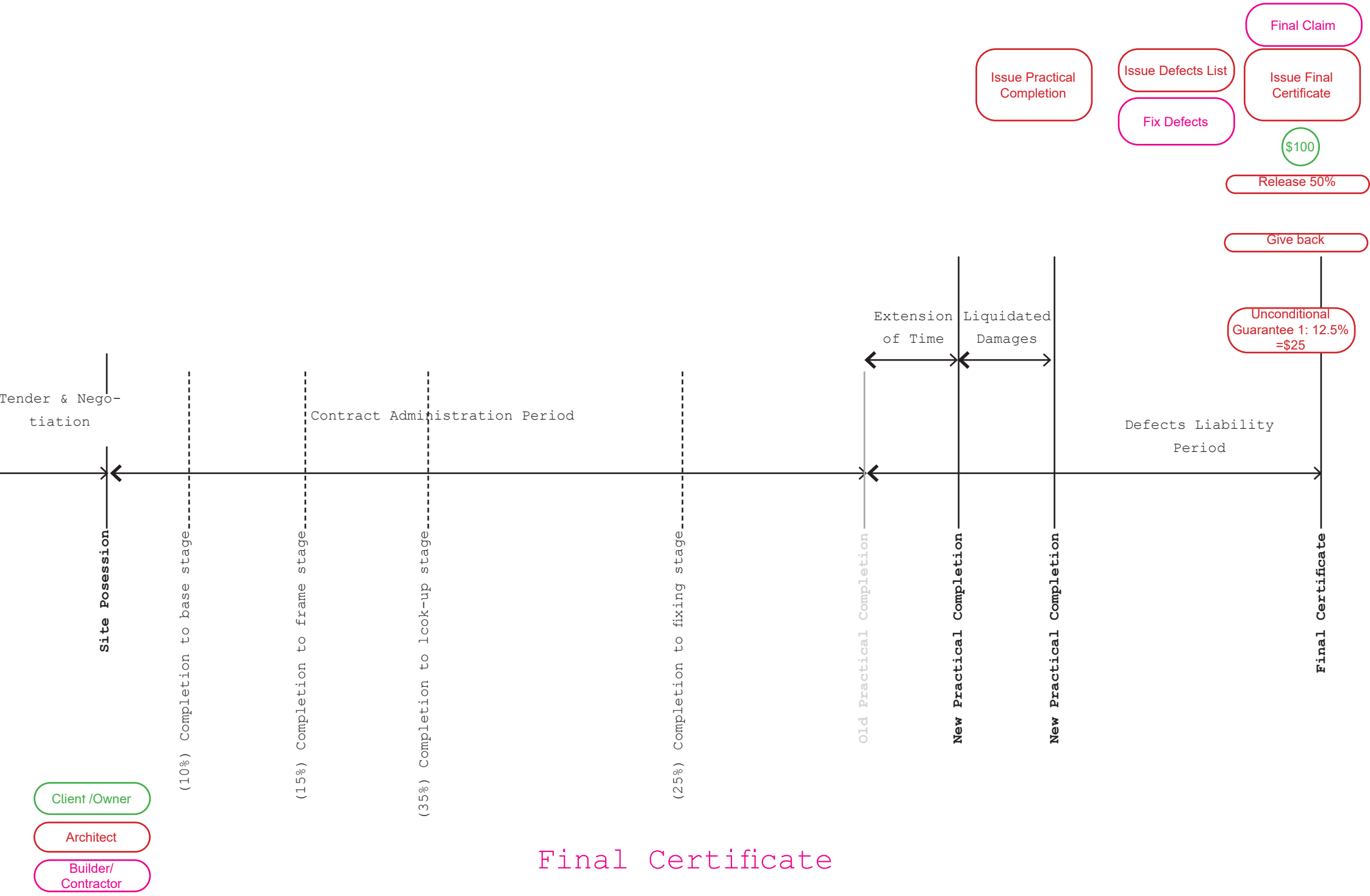
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SW-30H	Progress payment with deposit (domestic only)	N4, N16, N17
(4) **SW-31**	Final certificate	N11
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SW-58	Notice of dispute – clause P2	P2
SW-59	Notification of an official document	J6
SW-60	Notice of start or end of delay	L3
SW-61	Notice of non-compliance (of owner-specified materials)	A5.5

Contract Price Adjustments and Final Certificate



Final Certificate

RMIT Classification: Trusted

Architects Company name changes here

ABIC FORM SW-31
Stage 2- FINAL CERTIFICATE

Project: Sydney Opera House | Project No.: 54

Owner: NSW Government Sydney Opera House Trust

Contractor: Hornibrook Limited | Date issued: 20/10/1974

		ASSUMED FOR ABIC EXE[illegible]E
A.	Original **cost of building work*:	$8,000,000.00
B.	Total adjustments to the **cost of building work* to date:	$4,500,000.00
C.	Current adjusted **cost of building work* **A + B**:	$12,500,000
D.	Plus **GST*:	0
E.	Current adjusted **contract price* **C+D:**	**$12,500,000**

1.	Total amount of any cash retention/~~drawn on guara[illegible]e~~ the owner is entitled to withhold (incl. **GST*, if applicable):	$200,000.00
2.	Total of any bank fees and charges on cash retention withheld/~~every guarantee:~~	$20,000.00
3.	Total of any liquidated damages deducted:	$20,000.00
4.	Total of any set-off monies claimed by the owner and assessed by the architect (incl. **GST*):	$0.00
5.	Total amounts of **contract price* payable to the contractor **E - 1 - 2 - 3 - 4**	**$12,300,000.0**
6.	Total amount certified at **item 9** in all previous certificates (*if applicable*):	**$12,000,000.00**
7.	**Amount certified as due and owing to the contractor/~~owner~~** [*strike out one, as applicable*] **(incl. *GST) is 5 - 6** [*in words*]**:** **three hundred thousand**	**$300,000**

Notes:

A.	The **total cash retention**, if any not previously drawn or kept by the owner, that is included in this certificate:	$200,000.00
B.	**Liquidated damages**, if any, not previously claimed by the owner, incl. **GST*, that is included in this certificate:	$20,000.00
C.	**Set-off amount** due to the owner, if any, but not previously claimed, included in this certificate:	$0.00
D.	**Interest earned** on cash retention included in this certificate since any previous release of security:	$0.00
E.	**Bank fees and charges** on cash retention amount that is deducted from this certificate since any	$20,000.00

_____ [*signature*]
Architect's Representative

Distribution: **Original:** Contractor ☐ x **Copies:** Owner ☐ File ☐ Other ☐ _____